4	30-2019-01094012 Iwanaga v. Global Financial Data Incorporated	Interested Party's (Jane Doe) Request for Evidentiary Hearing re: Motion to Disqualify scheduled for 9-26-23 is **CONTINUED** to 10-24-23 at 9:00 a.m. in Department C32 a date and time to be determined at the hearing on 9-26-23. On 8-1-23, Interested Party's Motion to Disqualify Attorney (Motion) previously came on for hearing. The court continued the Motion to Disqualify to 9-26-23, and ordered Interested Party to file a brief in support of her request for an evidentiary hearing by 8-14-23. (8-1-23 Minute Order.) The court ordered Plaintiff (Kevin Iwanaga) to file an opposition brief by 8-29-23. (8-1-23 Minute Order.) Plaintiff filed a redacted version of Plaintiff's Supplemental Brief on 8-29-23 under ROA No. 805. The redacted version contains significant redactions such that the court is unable to determine the arguments that Plaintiff is advancing. The court's file does not reflect that that Plaintiff has filed or lodged an unredacted version of Plaintiff's Supplemental Brief. Based on the above, the court **CONTINUES** Interested Party's Request for Evidentiary Hearing re: Motion to Disqualify to a date and time to be determined at the hearing on 9-26-23 to allow Plaintiff to file an unredacted version of their Supplemental Brief. Court orders clerk to give notice.
5	30-2021-01231084 Joher v. Joher	**<u>Motion No. 1:</u>** **Defendants' (Chade M. Joher, Hussam H. Joher, and Concept Developer Inc.) Demurer to Hassan S. Joher and Mike Johar's Second Amended Complaint (Demurrer), filed on 5-15-23 under ROA No. 178, is OVERRULED in part and SUSTAINED in part.** "A demurrer tests the pleading alone, and not the evidence or the facts alleged. . . . To the extent there are factual issues in dispute, however, this court must assume the truth not only of all facts properly pled, but also of those facts that may be implied or inferred from those expressly alleged in the complaint. [Citations.]" (*City of Atascadero v. Merrill Lynch, Pierce, Fenner & Smith, Inc.* (1998) 68 Cal.App.4th 445, 459.) Code of Civil Procedure section 452, states, "In the construction of a pleading, for the purpose of determining its effect, its allegations must be liberally construed, with a view to substantial justice between the parties." *Perez v. Golden Empire Transportation Transit District* (2012) 209 Cal.App.4th 1228, 1238, provides, "This rule of liberal construction

		means that the reviewing court draws inferences favorable to the plaintiff, not the defendant. [Citations.]" The Demurrer challenges the first, second, third, and fourth causes of action contained in Plaintiffs' (Hassan S. Joher and Mike Johar) Second Amended Complaint (SAC), filed on 4-12-23 under ROA No. 145, pursuant to Code of Civil Procedure section 430.10, subdivisions (b), (e), and (f). The Demurrer challenges the fifth cause of action pursuant to Code of Civil Procedure section 430.10, subdivisions (g), (e), and (f). The Demurrer challenges the sixth cause of action pursuant to Code of Civil Procedure section 430.10, subdivisions (g) and (f). The Demurrer challenges the seventh cause of action pursuant to Code of Civil Procedure section 430.10, subdivision (e). **Corporations Code section 800 as to the First, Second, Third, Fourth, and Fifth Causes of Action:** The Demurrer states, "The SAC admits plaintiffs did not make the required prerequisite <u>Corporations Code</u>§ 800(b)(2) demands on Royal's board prior to filing this action." (Demurrer; 5:12-13.) The Demurrer also states, "This demurrer should be sustained as to the first, second, third, fourth and fifth causes of action which are all derivative in pleading." (Demurrer; 7:5-6.) *Desaigoudar v. Meyercord* (2003) 108 Cal.App.4th 173, 183 (*Desaigoudar*), states, "In order to put the issue in context, we begin with some basic principles of corporate law. First among these is the nature of the shareholders' derivative lawsuit. Because a corporation is a legal entity separate from its shareholders [citation], when a corporation has suffered an injury to its property the corporation is the party that possesses the right to sue for redress. [Citation.] If a corporation fails to pursue redress of an injury, a shareholder may file a derivative action on behalf of the corporation. The 'derivative' action is so called because the rights of the plaintiff shareholders derive from the primary corporate right to redress the wrongs against it. [Citation.]" Corporations Code Section 800, subdivision (b), states, "No action may be instituted or maintained in right of any domestic or foreign corporation by any holder of shares or of voting trust certificates of the corporation unless both of the following conditions exist: [¶] (1) The plaintiff alleges in the complaint that plaintiff was a shareholder, of record or beneficially, or the holder of voting trust certificates at the time of the transaction or any part thereof of which plaintiff complains or that plaintiff's shares or voting trust certificates thereafter devolved upon plaintiff by operation of law from a holder who was

		a holder at the time of the transaction or any part thereof complained of; provided, that any shareholder who does not meet these requirements may nevertheless be allowed in the discretion of the court to maintain the action on a preliminary showing to and determination by the court, by motion and after a hearing, at which the court shall consider such evidence, by affidavit or testimony, as it deems material, that (i) there is a strong prima facie case in favor of the claim asserted on behalf of the corporation, (ii) no other similar action has been or is likely to be instituted, (iii) the plaintiff acquired the shares before there was disclosure to the public or to the plaintiff of the wrongdoing of which plaintiff complains, (iv) unless the action can be maintained the defendant may retain a gain derived from defendant's willful breach of a fiduciary duty, and (v) the requested relief will not result in unjust enrichment of the corporation or any shareholder of the corporation; and [¶] (2) The plaintiff alleges in the complaint with particularity plaintiff's efforts to secure from the board such action as plaintiff desires, or the reasons for not making such effort, and alleges further that plaintiff has either informed the corporation or the board in writing of the ultimate facts of each cause of action against each defendant or delivered to the corporation or the board a true copy of the complaint which plaintiff proposes to file." *Oakland Raiders v. National Football League* (2001) 93 Cal.App.4th 572, 587 (*Raiders*), provides, "The test for proving demand futility is whether the facts show a reasonable doubt that (1) the directors are disinterested and independent, and (2) the challenged transaction was otherwise the product of a valid exercise of business judgment." [Citation.] But general, conclusory facts are insufficient. [Citation.]" *Bader v. Anderson* (2009) 179 Cal.App.4th 775, 792 (*Bader*), provides, "A director will be deemed not to be disinterested if the facts alleged 'demonstrate[] a potential personal benefit or detriment to the director as a result of the decision.' [Citations.]" *Charter Township of Clinton Police & Fire Retirement System v. Martin* (2013) 219 Cal.App.4th 924, 934-935, states, " 'When it is clear that making a demand upon the company's board of directors would be futile, the demand requirement may be excused. *See Aronson*[, *supra*], 473 A.2d [at p.] 815. . . (laying out standard for demand futility). In order to excuse the demand requirement, a derivative complaint must allege particularized facts creating a 'reasonable doubt' that: (1) the directors were disinterested and independent; or (2) the challenged transaction was the product of a valid exercise of business judgment. *See* [*ibid.*]; *see also Brehm*[, *supra,*] 746 A.2d [at p.] 256. If either prong is satisfied, then a plaintiff has

		met the demand futility burden and the demand requirement is excused. *See In re Intel Corp. Derivative Litig.,* 621 F.Supp.2d 165 (D.Del.2009). If a plaintiff fails to satisfy the first prong of *Aronson,* there is a presumption that the board's actions were the product of a valid exercise of business judgment. *See Beam v. Stewart,* 845 A.2d 1040, 1049 (Del.2004); *see also Intel,* 621 F.Supp.2d at [p.] 170. Under the second prong of *Aronson,* "plaintiffs must plead particularized facts sufficient to raise (1) a reason to doubt that the action was taken honestly and in good faith or (2) a reason to doubt that the board was adequately informed in making the decision." *In re J.P. Morgan Chase & Co. S'holder Litig.,* 906 A.2d 808, 824 (Del.Ch.2005) [(*In re J.P. Morgan Chase*)].' [Citations.]" Paragraphs 52, 53, and 54 of the SAC sufficiently allege demand futility. Specifically, paragraph 53 of the SAC pleads in part, ". . . any demand to CHADE or HUSSAM to secure the actions . . . would be futile because the allegations in this Complaint arise out of CHADE and HUSSAM's wrongful conduct." (Uppercase in SAC.) These allegations are sufficient to allege Defendant—Chade Joher is not a disinterested director because he has personally benefited from his wrongful conduct. (SAC, ¶¶ 37, 52, 53, and 54.) The SAC sufficiently alleges a doubt that Defendant—Chade Joher is a disinterested director. As to notice, the SAC pleads, "On or about September 18, 2021, MIKE, on behalf of himself and HASSAN, informed ROYAL's board in writing of the ultimate facts of each derivative cause of action (breach of fiduciary duty, conversion/unlawful distributions, unjust enrichment, breach of contract, promissory estoppel, and aiding and abetting) alleged in this Complaint. . . ." (SAC, ¶ 40; Uppercase in SAC.) The SAC also attaches Exhibit A (SAC, ¶ 44(g)) which is a Demand Letter pursuant to Corporations Code section 800. This Demand Letter is dated 4-10-23 which is two-days before the filing of the FAC on 4-12-23. The Demurrer states, ". . . by plaintiffs' own admission, by this time frame-conditioned notice, plaintiffs 'jumped-the-gun- filing the SAC, a derivative action, two-days later, which is not a reasonable time period to expect any Board to act even if the plaintiffs did not say the board had 90 days." (Demurrer; 6:28-7:3.) First, the court notes that the Demand Letter sufficiently provides notice as to the derivative causes of action. Second, Corporations Code section 800 does not provide a time period for a corporation to provide a response to a demand before the filing of a complaint. Further, as discussed above, the SAC sufficiently pleads demand futility.

Thus, the court **OVERRULES** the Demurrer to the first, second, third, fourth, and fifth causes of action to the extent the Demurrer relies on Code of Civil Procedure section 430.10, subdivision (b), by contending Plaintiffs did not comply with Corporations Code section 800. (The court notes that it does not appear that the fourth and fifth causes of action are derivative causes of action. The court addressed the fourth and fifth causes of action as to Defendants' Corporations Code section 800 contention because the Demurrer construed the fourth and fifth causes of action as derivative causes of action.

First Cause of Action (Breach of Fiduciary Duty):

The Demurrer states, "Shareholders, other than controlling shareholders, owe no further duty to other shareholders or to the corporation." (Demurrer; 7:14-15.) Plaintiffs' Opposition to Demurer to Plaintiffs' Second Amended Complaint (Opposition), filed on 9-11-23 under ROA No. 213, states, ". . . while Defendants own a combined total of 50% of Royal's shares, they are still deemed to be 'controlling shareholders' because Defendants have taken complete control of Royal." (Opposition; 7:16-17.)

Meister v. Mensinger (2014) 230 Cal.App.4th 381, 395 (*Meister*), states, "The elements of a cause of action for breach of fiduciary duty are the existence of a fiduciary relationship, its breach, and damage proximately caused by that breach. [Citation.]" *Singhania v. Uttarwar* (2006) 136 Cal.App.4th 416, 426 (*Singhania*), provides, "California law clearly recognizes that officers and directors owe a fiduciary duty to stockholders and controlling stockholders owe a fiduciary duty to minority stockholders. [Citations.]"

Citron v. Fairchild Camera & Instrument (Del. 1989) 569 A.2d 53, 70, (*Citron*), states, "Under Delaware law, until the conclusion of the tender offer, Schlumberger owed no fiduciary duty of candor to Fairchild's stockholders. '[A] shareholder who owns less than 50% of a corporation's outstanding stocks does not, without more, become a controlling shareholder of that corporation, with a concomitant fiduciary status.' [Citation.] For a dominating relationship to exist in the absence of controlling stock ownership, a plaintiff must allege domination by a minority shareholder through actual control of corporate conduct. [Citations.]" *University of Southern California v. Superior Court* (2018) 30 Cal.App.5th 429, 446 at footnote 12, states, "We note that *Regents* cited out-of-state cases in support of its holding that universities have a limited special relationship with their students.

		[Citation.] We are free to cite both published and unpublished decisions from other jurisdictions and rely on them as persuasive authority. [Citations.]" (See also, *Apple, Inc. v. Superior Court* (2017) 18 Cal.App.5th 222, 247 at footnote 11.).) The SAC alleges that Defendants—Chade Joher and Hunssam Joher own 50% of Royal Entertainment, Inc. (Royal) (SAC, ¶ 23.) The SAC pleads that Plaintiff—Hassan Joher was the sole director of Royal ". . . until he was outsted from his role of director by . . ." Defendant—Chade Joher. (SAC, ¶ 25; See also, SAC, ¶ 37.) After the alleged ouster, Defendant—Chade Joher became the sole director of Royal. (SAC, ¶ 37.) These allegations sufficiently plead that Defendants—Chade Joher and Hussam Joher are the controlling shareholders of Royal based on Defendant—Chade Joher's role as the sole director of Royal. Thus, the SAC adequately pleads that they owe a fiduciary duty to Plaintiffs. Paragraphs 59-69 of the SAC adequately plead breach of fiduciary duty by Defendants—Chade Joher and Hussam Joher and damages. As to Defendant—Concept Developers, Inc. the SAC does not allege that Defendant—Concept Developers, Inc. owed a fiduciary duty to Plaintiffs. (SAC, ¶ 61.) Therefore, the court **SUSTAINS** the Demurrer as brought by Defendant—Concept Developers, Inc. as to the first cause of action. The court **OVERRULES** the Demurrer as brought by Defendants—Chade Joher and Hussam Joher as to the first cause of action. **Second Cause of Action—Conversion:** *PCO, Inc. v. Christensen, Miller, Fink, Jacobs, Glaser, Weil & Shapiro, LLP* (2007) 150 Cal.App.4th 384, 395 (*PCO*), states, " 'A cause of action for conversion requires allegations of plaintiff's ownership or right to possession of property; defendant's wrongful act toward or disposition of the property, interfering with plaintiff's possession; and damage to plaintiff. [Citation.] Money cannot be the subject of a cause of action for conversion unless there is a specific, identifiable sum involved, such as where an agent accepts a sum of money to be paid to another and fails to make the payment. [Citation.]' [Citations.] A 'generalized claim for money [is] not actionable as conversion.' [Citations.]" (See also, CACI No. 2100.) The SAC pleads, "Beginning no later than May 2021 and continuing until the present, without any discussion with

		or notice to Plaintiffs, and certainly without Plaintiffs' consent, CHADE and HUSSAM siphoned ROYAL's funds. CHADE and HUSSAM continue to distribute to themselves such sums at a whim and without legal basis or accounting. . . . [¶] The amount of conversion / unlawful distributions shall be proven at trial, but is no less than $500,000 until the present day, with the value of any permanent conversion of ROYAL's funds being at least $2,500,000, including CHADE and HUSSAM's unreimbursed capital contributions." (SAC, ¶¶ 72 and 76; Uppercase in SAC.) These allegations are insufficient to plead a specific, identifiable sum of money as required by *PCO*. Further, paragraph 72 does not allege that Defendant—Concept Developers, Inc. was responsible for the conversion. (SAC, ¶¶ 72 and 75.) Therefore, the court **SUSTAINS** the Demurrer as as to the second cause of action. **Third Cause of Action—Unjust Enrichment:** The Demurrer states, " 'California does not recognize a stand-alone cause of action for unjust enrichment . . .' ." (Demurrer; 9:1-2.) *Durell v. Sharp Healthcare* (2010) 183 Cal.App.4th 1350, 1370 (*Durell*), states, " '[T]here is no cause of action in California for unjust enrichment.' [Citations.] Unjust enrichment is synonymous with restitution. [Citation.] [¶] 'There are several potential bases for a cause of action seeking restitution. For example, restitution may be awarded in lieu of breach of contract damages when the parties had an express contract, but it was procured by fraud or is unenforceable or ineffective for some reason. [Citations.] Alternatively, restitution may be awarded where the defendant obtained a benefit from the plaintiff by fraud, duress, conversion, or similar conduct. In such cases, the plaintiff may choose not to sue in tort, but instead to seek restitution on a quasi-contract theory. . . . [Citations.] In such cases, where appropriate, the law will imply a contract (or rather, a quasi-contract), without regard to the parties' intent, in order to avoid unjust enrichment.' [Citation.] [¶] 'Under the law of restitution, "[a]n individual is required to make restitution if he or she is unjustly enriched at the expense of another. [Citations.] A person is enriched if the person receives a benefit at another's expense. [Citation.]" [Citation.] However, "[t]he fact that one person benefits another is not, by itself, sufficient to require restitution. The person receiving the benefit is required to make restitution only if the circumstances are such that, as between the two

individuals, it is *unjust* for the person to retain it. [Citation.]" ' [Citation.] As a matter of law, an unjust enrichment claim does not lie where the parties have an enforceable express contract. [Citation.]" (Italics in *Durell*.) "The elements of an unjust enrichment claim are the 'receipt of a benefit and [the] unjust retention of the benefit at the expense of another.' [Citation.]" (*Peterson v. Cellco Partnership (Peterson)* (2008) 164 Cal.App.4th 1583, 1593.)

Although unjust enrichment may not be a cause of action, Defendants have not provided the court with any authority that it is improper to plead a claim for unjust enrichment as a remedy for the purpose of placing Defendants on notice that Plaintiff is seeking restitution. Therefore, the court **OVERRULES** the Demurrer to the third cause of action as brought by Defendants—Chade Joher and Hussam Joher.

The court **SUSTAINS** the as brought by Defendant—Concept Developers, Inc. because the SAC does not allege any cause of action against this Defendant to support the remedy of unjust enrichment.

Fourth Cause of Action—Breach of Oral Contract:

Maxwell v. Dolezal (2014) 231 Cal.App.4th 93, 97-98, "To establish a cause of action for breach of contract, the plaintiff must plead and prove (1) the existence of the contract, (2) the plaintiff's performance or excuse for nonperformance, (3) the defendant's breach, and (4) resulting damages to the plaintiff. [Citations.]" *Stockton Mortgage, Inc. v. Tope* (2014) 233 Cal.App.4th 437, 453 (*Stockton*), states, "The elements of a breach of oral contract claim are the same as those for a breach of written contract: a contract; its performance or excuse for nonperformance; breach; and damages. [Citations.]" *McKell v. Washington Mut., Inc*. (2006) 142 Cal.App.4th 1457, 1489 (*McKell*), provides, "A written contract may be pleaded either by its terms—set out verbatim in the complaint or a copy of the contract attached to the complaint and incorporated therein by reference—or by its legal effect."

Paragraphs 82-86 sufficiently breach of an oral contract between Defendants—Chade Joher and Hussam Joher regarding the transfer of assets from Royal to Defendant—Concept Developers, Inc. The SAC, however, does not alleged that Defendant—Concept Developers, Inc. was a party to this contract.

Therefore, the court **SUSTAINS** the Demurrer as brought by Defendant—Concept Developers, Inc. as to the fourth cause of action. The court **OVERRULES** the Demurrer as brought by Defendants—Chade Joher and Hussam Joher as to the fourth cause of action.

Fifth Cause of Action (Promissory Estoppel):

Jones v. Wachovia Bank (2014) 230 Cal.App.4th 935, 944-945 (*Jones*), states, " 'The elements of a promissory estoppel claim are "(1) a promise clear and unambiguous in its terms; (2) reliance by the party to whom the promise is made; (3) [the] reliance must be both reasonable and foreseeable; and (4) the party asserting the estoppel must be injured by his reliance.' [Citation.]' [Citation.]"

The Demurrer states, "The Fifth cause of action does not state whether this contractual promise entered into in December of 2018 is written or oral." (Demurrer; 10:19-20.)

Paragraphs 88-93 of the SAC sufficiently allege a cause of action for promissory estoppel. Assuming, without deciding that Code of Civil Procedure section 430.10, subdivision (g), to a promissory estoppel cause of action, the court finds that the fifth cause of action adequately alleges an oral contract. Paragraph 87 incorporates the previous paragraphs of the SAC which includes paragraph 84 of the SAC. The subject of the fifth cause of action is the transfer of assets from Royal to Defendant—Concept Developers, Inc. (SAC, ¶ 88.) The SAC, however does not allege that Defendant—Concept Developers, Inc. made promises to Plaintiffs. (SAC, ¶ 89.)

Therefore, the court **SUSTAINS** the Demurrer as brought by Defendant—Concept Developers, Inc. as to the fifth cause of action. The court **OVERRULES** the Demurrer as brought by Defendants—Chade Joher and Hussam Joher as to the fifth cause of action.

Sixth Cause of Action—Aiding and Abetting:

Nasrawi v. Buck Consultants LLC (2014) 231 Cal.App.4th 328, 343 (*Nasrawi*), provides, "The elements of a claim for aiding and abetting a breach of fiduciary duty are: (1) a third party's breach of fiduciary duties owed to plaintiff; (2) defendant's actual knowledge of that breach of fiduciary duties; (3) substantial assistance or encouragement by defendant to the third party's breach; and (4) defendant's conduct was a substantial factor in causing harm to plaintiff. [Citations.]"

		American Master Lease LLC v. Idanta Partners, Ltd. (2014) 225 Cal.App.4th 1451, 1477 (*American Master Lease*), states, "Thus, there are two different theories pursuant to which a person may be liable for aiding and abetting a breach of fiduciary duty. One theory, like conspiracy to breach a fiduciary duty, requires that the aider and abettor owe a fiduciary duty to the victim and requires only that the aider and abettor provide substantial assistance to the person breaching his or her fiduciary duty. [Citations.] On this theory, California law treats aiding and abetting a breach of fiduciary duty and conspiracy to breach a fiduciary duty similarly. Courts impose liability for concerted action that violates the aider and abettor's fiduciary duty. [Citations.] The second theory for imposing liability for aiding and abetting a breach of fiduciary duty arises when the aider and abettor commits an independent tort. [Citations.] This occurs when the aider and abettor makes ' "a conscious decision to participate in tortious activity for the purpose of assisting another in performing a wrongful act." ' [Citations.]" The court has found that the SAC alleges a viable cause of action for breach of fiduciary duty as to Defendants—Chade Joher and Hussam Joher. Paragraphs 94-100 sufficiently plead aiding and abetting liability against Defendants—Chade Joher and Hussam Joher. As to Defendant—Concept Developers, Inc., the SAC pleads that Defendant—Concept Developers, Inc. aided and abetted based on an agency, alter ego, or corporate shell theory based on the acts of Defendant—Chade Joher and Hussam Joher. (SAC, 98.) The SAC does not sufficiently plead acts Defendant—Concept Developer's Inc. that aided and abetted Defendants—Chade Joher and Hussam Joher in their breach of fiduciary duty. Therefore, the court **SUSTAINS** the Demurrer as brought by Defendant—Concept Developers, Inc. as to the sixth cause of action. The court **OVERRULES** the Demurrer as brought by Defendants—Chade Joher and Hussam Joher as to the sixth cause of action. **Seventh Cause of Action—Assault and Battery:** *So v. Shin* (2013) 212 Cal.App.4th 652, 668-669 (*So*), explains, "The essential elements of a cause of action for assault are: (1) defendant acted with intent to cause harmful or offensive contact, or threatened to touch plaintiff in a harmful or offensive manner; (2) plaintiff reasonably believed she was about to be touched in a harmful or offensive manner or it reasonably appeared to plaintiff that defendant was about to carry out the threat;

		(3) plaintiff did not consent to defendant's conduct; (4) plaintiff was harmed; and (5) defendant's conduct was a substantial factor in causing plaintiff's harm. [Citations.] The essential elements of a cause of action for battery are: (1) defendant touched plaintiff, or caused plaintiff to be touched, with the intent to harm or offend plaintiff; (2) plaintiff did not consent to the touching; (3) plaintiff was harmed or offended by defendant's conduct; and (4) a reasonable person in plaintiff's position would have been offended by the touching. [Citations.]" Paragraphs 41, 102, and 103 of the SAC adequately plead a cause of action for assault and battery. Therefore, the court **OVERRULES** the Demurrer to the seventh cause of action. To the extent the Demurrer relies on Code of Civil Procedure section 430.10, subdivision (f), to challenge the above causes of action, the court **OVERRULES** the Demurrer. The FAC is not so uncertain as to prevent Defendant from providing an informed response. (*A.J. Fistes Corp. v. GDL Best Contractors, Inc.* (2019) 38 Cal.App.5th 677, 695 (*Fistes*.) Based on the above, the court **SUSTAINS** Defendants' (Chade M. Joher, Hussam H. Joher, and Concept Developer Inc.) Demurer to Hassan S. Joher and Mike Johar's Second Amended Complaint, filed on 5-15-23 under ROA No. 178, as to all of the causes of action alleged against Defendant—Concept Developers, Inc. The court **SUSTAINS** the Demurrer as to the second cause of action as brought by Defendants—Chade Joher and Hussam Joher. The court **OVERRULES** the Demurrer as to the remaining causes of action as brought by Defendants—Chade Joher and Hussam Joher. As to the causes of action to which the court has sustained the Demurrer, *Heritage Pacific Financial, LLC v. Monroy* (2013) 215 Cal.App.4th 972, 994 (*Heritage*), states, "The court abuses its discretion in sustaining the demurrer without leave to amend if the plaintiff can show a reasonable possibility of curing the defect in the complaint by amendment. [Citation.] Heritage has the burden of proving that an amendment would cure the defect. [Citation.]" The court intends to sustain the Demurrer without leave to amend unless Plaintiff appears at the hearing on 9-26-23 and can demonstrate a reasonable possibility of curing the defects identified in the court's ruling. Defendants are to give notice. **<u>Motion No. 2</u>**

		Defendant's (Royal Entertainment Inc.) Demurrer to Hassan S. Joher and Mike Joher's Second Amended Complaint (Demurrer), filed on 5-15-23 under ROA No. 174, is OVERRULED. The Demurrer states, "The SAC admits plaintiffs did not make the required prerequisite Corporations Code§ 800(b)(2) demands on Royal's board prior to filing this action." (Demurrer; 4:24-25.) The Demurrer makes the same contentions that the court the court addressed in ruling on Motion No. 1 regarding the application of Corporations Code section 800. Thus, the court **OVERRULES** Defendant's (Royal Entertainment Inc.) Demurrer to Hassan S. Joher and Mike Joher's Second Amended Complaint, filed on 5-15-23 under ROA No. 174, for the same reasons as stated in Motion No. 1 regarding the application of Corporations Code section 800. "A demurrer tests the pleading alone, and not the evidence or the facts alleged. . . . To the extent there are factual issues in dispute, however, this court must assume the truth not only of all facts properly pled, but also of those facts that may be implied or inferred from those expressly alleged in the complaint. [Citations.]" (*City of Atascadero v. Merrill Lynch, Pierce, Fenner & Smith, Inc.* (1998) 68 Cal.App.4th 445, 459.) Code of Civil Procedure section 452, states, "In the construction of a pleading, for the purpose of determining its effect, its allegations must be liberally construed, with a view to substantial justice between the parties." *Perez v. Golden Empire Transportation Transit District* (2012) 209 Cal.App.4th 1228, 1238, provides, "This rule of liberal construction means that the reviewing court draws inferences favorable to the plaintiff, not the defendant. [Citations.]" The Demurrer challenges the first, second, third, and fourth causes of action contained in Plaintiffs' (Hassan S. Joher and Mike Johar) Second Amended Complaint (SAC), filed on 4-12-23 under ROA No. 145, pursuant to Code of Civil Procedure section 430.10, subdivisions (b) and (e). The Demurrer challenges the fifth cause of action pursuant to Code of Civil Procedure section 430.10, subdivision (e). **Corporations Code section 800 as to the First, Second, Third, Fourth, and Fifth Causes of Action:** The Demurrer states, "The SAC admits plaintiffs did not make the required prerequisite Corporations Code§ 800(b)(2) demands on Royal's board prior to filing this action." (Demurrer; 4:24-25.) The Demurrer also states,

		". . . this demurrer should be sustained as to the first, second, third, fourth and fifth causes of action which are all derivative in pleading." (Demurrer; 6:21-22.) *Desaigoudar v. Meyercord* (2003) 108 Cal.App.4th 173, 183 (*Desaigoudar*), states, "In order to put the issue in context, we begin with some basic principles of corporate law. First among these is the nature of the shareholders' derivative lawsuit. Because a corporation is a legal entity separate from its shareholders [citation], when a corporation has suffered an injury to its property the corporation is the party that possesses the right to sue for redress. [Citation.] If a corporation fails to pursue redress of an injury, a shareholder may file a derivative action on behalf of the corporation. The 'derivative' action is so called because the rights of the plaintiff shareholders derive from the primary corporate right to redress the wrongs against it. [Citation.]" Corporations Code Section 800, subdivision (b), states, "No action may be instituted or maintained in right of any domestic or foreign corporation by any holder of shares or of voting trust certificates of the corporation unless both of the following conditions exist: [¶] (1) The plaintiff alleges in the complaint that plaintiff was a shareholder, of record or beneficially, or the holder of voting trust certificates at the time of the transaction or any part thereof of which plaintiff complains or that plaintiff's shares or voting trust certificates thereafter devolved upon plaintiff by operation of law from a holder who was a holder at the time of the transaction or any part thereof complained of; provided, that any shareholder who does not meet these requirements may nevertheless be allowed in the discretion of the court to maintain the action on a preliminary showing to and determination by the court, by motion and after a hearing, at which the court shall consider such evidence, by affidavit or testimony, as it deems material, that (i) there is a strong prima facie case in favor of the claim asserted on behalf of the corporation, (ii) no other similar action has been or is likely to be instituted, (iii) the plaintiff acquired the shares before there was disclosure to the public or to the plaintiff of the wrongdoing of which plaintiff complains, (iv) unless the action can be maintained the defendant may retain a gain derived from defendant's willful breach of a fiduciary duty, and (v) the requested relief will not result in unjust enrichment of the corporation or any shareholder of the corporation; and [¶] (2) The plaintiff alleges in the complaint with particularity plaintiff's efforts to secure from the board such action as plaintiff desires, or the reasons for not making such effort, and alleges further that plaintiff has either informed the corporation or the board in writing of the ultimate facts of each cause

		of action against each defendant or delivered to the corporation or the board a true copy of the complaint which plaintiff proposes to file." *Oakland Raiders v. National Football League* (2001) 93 Cal.App.4th 572, 587 (*Raiders*), provides, "The test for proving demand futility is whether the facts show a reasonable doubt that (1) the directors are disinterested and independent, and (2) the challenged transaction was otherwise the product of a valid exercise of business judgment." [Citation.] But general, conclusory facts are insufficient. [Citation.]" *Bader v. Anderson* (2009) 179 Cal.App.4th 775, 792 (*Bader*), provides, "A director will be deemed not to be disinterested if the facts alleged 'demonstrate[] a potential personal benefit or detriment to the director as a result of the decision.' [Citations.]" *Charter Township of Clinton Police & Fire Retirement System v. Martin* (2013) 219 Cal.App.4th 924, 934-935, states, " 'When it is clear that making a demand upon the company's board of directors would be futile, the demand requirement may be excused. *See Aronson*[, *supra*], 473 A.2d [at p.] 815. . . (laying out standard for demand futility). In order to excuse the demand requirement, a derivative complaint must allege particularized facts creating a 'reasonable doubt' that: (1) the directors were disinterested and independent; or (2) the challenged transaction was the product of a valid exercise of business judgment. *See* [*ibid.*]; *see also Brehm*[, *supra,*] 746 A.2d [at p.] 256. If either prong is satisfied, then a plaintiff has met the demand futility burden and the demand requirement is excused. *See In re Intel Corp. Derivative Litig.,* 621 F.Supp.2d 165 (D.Del.2009). If a plaintiff fails to satisfy the first prong of *Aronson,* there is a presumption that the board's actions were the product of a valid exercise of business judgment. *See Beam v. Stewart,* 845 A.2d 1040, 1049 (Del.2004); *see also Intel,* 621 F.Supp.2d at [p.] 170. Under the second prong of *Aronson,* "plaintiffs must plead particularized facts sufficient to raise (1) a reason to doubt that the action was taken honestly and in good faith or (2) a reason to doubt that the board was adequately informed in making the decision." *In re J.P. Morgan Chase & Co. S'holder Litig.,* 906 A.2d 808, 824 (Del.Ch.2005) [(*In re J.P. Morgan Chase*)].' [Citations.]" Paragraphs 52, 53, and 54 of the SAC sufficiently allege demand futility. Specifically, paragraph 53 of the SAC pleads in part, ". . . any demand to CHADE or HUSSAM to secure the actions . . . would be futile because the allegations in this Complaint arise out of CHADE and HUSSAM's wrongful conduct." (Uppercase in SAC.) These allegations are sufficient to allege Defendant—Chade

Joher is not a disinterested director because he has personally benefited from his wrongful conduct. (SAC, ¶¶ 37, 52, 53, and 54.) The SAC sufficiently alleges a doubt that Defendant—Chade Joher is a disinterested director.

As to notice, the SAC pleads, "On or about September 18, 2021, MIKE, on behalf of himself and HASSAN, informed ROYAL's board in writing of the ultimate facts of each derivative cause of action (breach of fiduciary duty, conversion/unlawful distributions, unjust enrichment, breach of contract, promissory estoppel, and aiding and abetting) alleged in this Complaint. . . ." (SAC, ¶ 40; Uppercase in SAC.) The SAC also attaches Exhibit A (SAC, ¶ 44(g)) which is a Demand Letter pursuant to Corporations Code section 800. This Demand Letter is dated 4-10-23 which is two-days before the filing of the FAC on 4-12-23. The Demurrer states, ". . . by plaintiffs' own admission, by this time frame-conditioned notice, plaintiffs 'jumped-the-gun- filing the SAC, a derivative action, two-days later, which is not a reasonable time period to expect any Board to act even if the plaintiffs did not say the board had 90 days." (Demurrer; 6:28-7:3.)

First, the court notes that the Demand Letter sufficiently provides notice as to the derivative causes of action. Second, Corporations Code section 800 does not provide a time period for a corporation to provide a response to a demand before the filing of a complaint. Further, as discussed above, the SAC sufficiently pleads demand futility.

Based on the above, the court **OVERRULES** Defendant's (Royal Entertainment Inc.) Demurrer to Hassan S. Joher and Mike Joher's Second Amended Complaint filed on 5-15-23 under ROA No. 174. (The court notes that it does not appear that the fourth and fifth causes of action are derivative causes of action. The court addressed the fourth and fifth causes of action as to Defendants' Corporations Code section 800 contention because the Demurrer construed the fourth and fifth causes of action as derivative causes of action.)

Plaintiffs are to give notice.

<u>Motion No. 3:</u>

Based on Plaintiffs' (Hassan S. Joher and Mike A. Johar) Notice of Withdrawal of Demurrer to Cross-Complaint (filed on 9-14-23 under ROA No. 223), Plaintiffs' Demurrer to Cross-Complaint (filed on 4-13-23 under ROA No. 151, and scheduled for hearing on 9-26-23 (See 5-19-23 Minute Order.)) is OFF CALENDAR.